



The Board of Directors of NIC Bank Limited is pleased to announce the Audited financial results of the Group and Bank for the year ended 31st December 2013

STATEMENT OF FINANCIAL POSITION	GROUP		BANK	
	31st Dec, 2013 Audited Shs '000	31st Dec, 2012 Audited Shs '000	31st Dec, 2013 Audited Shs '000	31st Dec, 2012 Audited Shs '000
ASSETS				
Cash (both Local & Foreign)	1,470,152	1,081,131	1,094,149	830,855
Balances due from Central Banks	7,273,392	5,969,831	5,950,797	5,132,414
Kenyan Government securities held for dealing purposes	-	-	-	-
Financial assets at fair value through profit & loss	155,334	138,509	-	-
Investment Securities:				
a) Held to Maturity				
a. Kenya Government securities	3,972,106	9,194,971	3,972,106	9,194,971
b. Other securities	1,516,326	1,146,224	-	-
b) Available for sale:				
a. Kenya Government securities	11,974,223	7,027,460	11,974,223	7,027,460
b. Other securities	475,161	214,999	-	-
Deposits and balances due from local banking institutions	518,795	2,046,810	174,441	586,836
Deposits and balances due from banking institutions abroad	5,401,404	6,141,906	4,014,967	5,983,128
Tax recoverable	188,847	17,860	-	-
Loans and advances to customers (net)	83,493,313	71,540,092	77,114,087	66,381,215
Balances due from banking institutions in the group	-	-	2,029,916	1,593,244
Investments in associates	-	-	-	-
Investments in subsidiary companies	-	-	3,365,493	2,285,324
Investments in joint ventures	-	-	-	-
Investment properties	-	-	-	-
Property and equipment	1,119,264	1,009,891	825,910	785,612
Prepaid lease rentals	7,250	7,375	7,250	7,375
Intangible assets	1,095,155	1,127,492	629,560	642,337
Deferred tax asset	328,788	257,632	302,269	241,808
Retirement benefit asset	-	-	-	-
Other assets	2,073,229	1,426,410	1,461,646	1,079,126
TOTAL ASSETS	121,062,739	108,348,593	112,916,814	101,771,705
LIABILITIES				
Balances due to Central Banks	-	-	-	-
Customer deposits	91,565,005	83,379,576	84,236,189	77,466,042
Deposits and balances due to local banking institutions	2,431,233	598,531	2,431,233	72,210
Deposits and balances due to foreign banking institutions	3,465,101	2,972,749	2,478,938	2,972,749
Other money market deposits	-	-	-	-
Borrowed funds	3,628,169	3,655,414	3,628,169	3,655,414
Balances due to banking institutions in the group	-	-	47,741	205,929
Tax payable	306,709	383,325	296,595	382,138
Dividends payable	-	-	-	-
Deferred tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	2,097,616	1,877,376	2,167,020	1,952,616
TOTAL LIABILITIES	103,493,833	92,866,971	95,285,885	86,707,098
EQUITY				
Paid up /Assigned capital	2,714,921	2,714,921	2,714,921	2,714,921
Share premium	1,208,068	1,208,799	1,208,068	1,208,799
Revaluation reserves	189,545	155,083	189,545	155,083
Retained earnings	12,999,981	10,095,639	12,999,114	9,836,433
Statutory loan reserves	975,617	687,543	729,104	637,174
Other reserves	(896,738)	(444,881)	(209,823)	(30,787)
Proposed dividends	-	542,984	-	542,984
Capital grants	-	-	-	-
	17,191,394	14,960,088	17,630,929	15,064,607
Non-controlling interests	377,512	521,534	-	-
TOTAL EQUITY	17,568,906	15,481,622	17,630,929	15,064,607
TOTAL LIABILITIES AND EQUITY	121,062,739	108,348,593	112,916,814	101,771,705

STATEMENT OF COMPREHENSIVE INCOME	31st Dec, 2013 Audited Shs '000	31st Dec, 2012 Audited Shs '000	31st Dec, 2013 Audited Shs '000	31st Dec, 2012 Audited Shs '000
INTEREST INCOME				
Loans and advances	9,604,199	9,894,132	8,592,080	9,074,435
Government securities	1,792,456	1,161,118	1,568,197	1,081,419
Deposits and placements with banking institutions	245,761	412,324	152,981	290,551
Other Interest Income	-	-	-	-
TOTAL INTEREST INCOME	11,642,416	11,467,574	10,313,258	10,446,405
INTEREST EXPENSE				
Customer deposits	4,001,168	5,735,877	3,535,051	5,342,007
Deposits and placement from banking institutions	216,494	187,865	122,930	124,874
Other interest expenses	156,775	59,964	121,497	59,964
TOTAL INTEREST EXPENSE	4,374,437	5,983,706	3,779,478	5,526,845
NET INTEREST INCOME	7,267,979	5,483,868	6,533,780	4,919,560
OTHER OPERATING INCOME				
Fees and commissions on loans and advances	880,429	727,923	799,318	662,228
Other fees and commissions	211,735	542,662	336,894	429,763
Foreign exchange trading income	1,146,510	1,164,312	1,018,443	1,074,248
Dividend Income	-	-	-	-
Other income	979,645	461,633	465,460	328,477
TOTAL NON-INTEREST INCOME	3,218,319	2,896,530	2,620,115	2,494,716
TOTAL OPERATING INCOME	10,486,298	8,380,398	9,153,895	7,414,276
OPERATING EXPENSES				
Loan loss provision	1,092,873	297,485	479,185	265,264
Staff costs	2,150,877	1,814,769	1,744,568	1,482,668
Directors' emoluments	216,631	163,882	152,282	109,886
Rental charges	252,667	169,317	138,420	101,037
Depreciation charge on property and equipment	249,233	204,471	202,772	173,730
Amortisation charges	196,874	113,461	161,193	97,213
Other operating expenses	1,317,571	1,099,046	1,054,618	873,529
TOTAL OPERATING EXPENSES	5,476,726	3,862,431	3,933,038	3,103,327
Profit before tax and exceptional items	5,009,572	4,517,967	5,220,857	4,310,949
Exceptional items	-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS	5,009,572	4,517,967	5,220,857	4,310,949
Current tax	(1,803,410)	(1,561,372)	(1,854,684)	(1,470,111)
Deferred tax	31,140	80,199	19,403	67,024
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	3,237,302	3,036,794	3,385,576	2,907,862
Other Comprehensive Income:				
a. Exchange differences on translation of foreign operations	(122,324)	(335,010)	-	-
b. Fair value changes in available-for-sale financial assets	(175,407)	406,377	(179,036)	406,377
c. Revaluation surplus on property, plant and equipment	39,243	-	39,243	-
d. Share of comprehensive income of associates	-	-	-	-
e. Income tax relating to components of other comprehensive income	-	-	-	-
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	(258,488)	71,367	(139,793)	406,377
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	2,978,814	3,108,161	3,245,783	3,314,239
	Shs	Shs	Shs	Shs
EARNINGS PER SHARE- BASIC & DILUTED	6.12	5.50	6.24	5.36
INTERIM DIVIDEND PER SHARE - DECLARED	0.25	-	0.25	-
FINAL DIVIDEND PER SHARE - DECLARED	0.75	1.00	0.75	1.00

OTHER DISCLOSURES
1. NON-PERFORMING LOANS AND ADVANCES

	31st Dec, 2013 Audited Shs '000	31st Dec, 2012 Audited Shs '000	31st Dec, 2013 Audited Shs '000	31st Dec, 2012 Audited Shs '000
(a) Gross Non-performing loans and advances	6,597,413	3,551,222	5,082,652	3,209,075
(b) Less Interest in Suspense	2,076,487	1,218,521	1,943,931	1,158,201
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	4,520,926	2,332,701	3,138,721	2,050,874
(d) Less Loan Loss Provision	2,592,033	1,652,986	1,996,325	1,583,147
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	1,928,893	679,715	1,142,396	467,727
(f) Discounted Value of Securities	1,928,893	679,715	1,142,396	467,727
(g) NET NPLS EXPOSURE (e-f)	-	-	-	-

2. INSIDER LOANS AND ADVANCES

(a) Directors, Shareholders and Associates	1,133,253	1,327,022	1,133,253	1,302,049
(b) Employees	822,165	664,900	781,758	620,288
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	1,955,418	1,991,922	1,915,011	1,922,337

3. OFF-BALANCE SHEET ITEMS

(a) Letters of credit, guarantees, acceptances	15,173,538	14,112,010	14,502,794	13,486,049
(b) Forwards, Swaps and options	24,858,686	10,904,232	24,858,686	10,366,805
(c) Other contingent liabilities	132,300	-	-	-
(d) TOTAL CONTINGENT LIABILITIES	40,164,524	25,016,242	39,361,480	23,852,854

4. CAPITAL STRENGTH

(a) Core capital			14,108,111	12,569,308
(b) Minimum Statutory Capital			1,000,000	1,000,000
(c) Excess (a-b)			13,108,111	11,569,308
(d) Supplementary Capital			767,875	677,140
(e) TOTAL CAPITAL (a+d)			14,875,986	13,246,448

(f) TOTAL RISK WEIGHTED ASSETS

(g) Core Capital / Total deposits liabilities			16.79%	16.29%
(h) Minimum statutory ratio			8.00%	8.00%
(I) Excess (g-h)			8.79%	8.29%

(j) Core Capital / Total risk weighted assets			14.82%	15.60%
(k) Minimum statutory ratio			8.00%	8.00%
(I) Excess (j-k)			6.82%	7.60%

(m) Total Capital / Total risk weighted assets			15.62%	16.44%
(n) Minimum statutory ratio			12.00%	12.00%
(o) Excess (m-n)			3.62%	4.44%

5. LIQUIDITY

(a) Liquidity Ratio			28.54%	35.27%
(b) Minimum statutory ratio			20.00%	20.00%
(c) Excess (a-b)			8.54%	15.27%

The financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nic-bank.com. They may also be accessed at the institution's head office located at NIC House, Masaba Road, Nairobi.

JPM NDEGWA
CHAIRMAN

J GACHORA
GROUP MANAGING DIRECTOR